TARGET COSTING

PRICE FIRST, COST NEXT

market decides, not you!

Strategic Cost Management

IN SIMPLE WORDS *Start with the price customers will pay, deduct the profit you want, and make the product within the cost left.*

① TARGET COSTING

A cost management tool where the allowable cost is fixed as market price minus desired profit, before the product is designed and made.

Cost is an input, not a result!

② COST GAP

The excess of the current estimated cost of the product over its target cost. It must be closed by value engineering and cost reduction.

Gap exists only if estimate > target

1. Market-driven: target selling price comes from customers and competitors
2. Used at the design and planning stage, not after production starts
3. Cost reduction is done by value engineering and team effort of design, production and marketing
4. Traditional costing: Cost + Profit = Price. Target costing reverses it



Swipe for the formula →

RAHUL KP
@cacmagyan



THE TARGET COST FORMULAS

price down, profit down, cost left

Target Costing

Target Cost

$$\text{TARGET COST} = \text{TSP} - \text{TP}$$

TSP = target selling price per unit; TP = target profit per unit

Target Profit (margin on sales)

$$\text{TP} = \text{TSP} \times m$$

m = desired profit as a fraction of sales price. Use only if the margin is given on sales.

Cost Gap

$$\text{COST GAP} = \text{EC} - \text{Target Cost}$$

EC = current estimated cost per unit. Positive gap means cost must be cut.

PRICE IS FIXED, COST MUST BEND! In target costing the market sets the price, so profit is protected only by cutting cost, not by raising price.

Swipe for a memory trick ⟶

RAHUL KP
@cacmagyan



STUDY TRICK

Target Costing

remember the flow

PRICE − PROFIT = PERMITTED COST

Think of a thali budget: the restaurant fixes the thali price, keeps its profit aside, and the cook gets only the permitted cost for ingredients.

HOW TO ATTEMPT IT

1 Find target selling price → 2 Deduct target profit →

3 Get target cost → 4 Compare with estimated cost →

5 Close gap by value engineering

EXAM TIP

Read whether the profit is on sales or on cost or on investment. Then compute target profit before target cost.

DOUBT BUSTER

Is the cost gap always a loss? No. It is not a loss yet. It is the cost reduction still needed to earn the target profit. If the gap is zero or negative, the target is met.

Swipe for common mistakes →

RAHUL KP
@cacmagyan

COMMON MISTAKES

Target Costing

avoid these slips

✗ Target cost = Estimated cost + Profit

✓ Target cost = Target selling price – Target profit

✗ Taking profit margin on cost when the question says on sales

✓ Apply the given base: on sales means percentage of selling price

✗ Cost gap = Target cost – Estimated cost

✓ Cost gap = Estimated cost – Target cost

✗ Raising the price to close the gap

✓ Price is set by the market; close the gap through value engineering and cost cuts

TOMORROW'S CMA FINAL MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

RAHUL KP
@cacmagyan

